Intelligent Investing

ET Prime Special Series: Multibagger or IBC - Part 70: Almost nobody tracks this company. That may be why its turnaround was missed



Synopsis

Very few investors track this old auto supplier, and that may be exactly why its turnaround went unnoticed. This is a business that spent years on the edge. Auditors flagged survival risk from FY18 onwards. Net worth stayed negative. The company leaned on its parent for financial support. Then, in FY26, it posted its strongest and positive net worth. Is this a supplier finally standing on its own, or one still holdin

Here is one the market almost forgot to look at. Hardly any big investors track this company. No meaningful institutional holding, little coverage, th kind of small, unglamorous supplier that slips unde the radar. And that neglect is precisely why something interesting happened without much notice.

In fact, for more than five years, the auditors of this listed auto ancillary said the same uncomfortable thing. They doubted whether it could survive. Year after year, its liabilities were larger than everything

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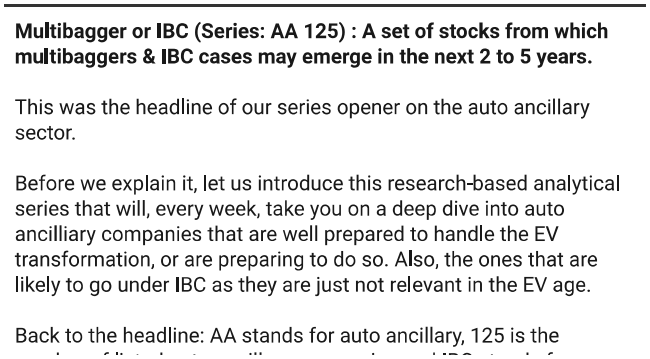
it owned. Its net worth was negative. It stayed alive on promises of support from its parent company.

This was not a small firm. It supplies critical body parts to some of India's biggest automakers. It builds the very metal structure that holds vehicles together. And yet, on its own books, it looked like a business fighting for its life.

Then came FY26. The numbers turned, and turned sharply.

The business we will be taking a deep dive into is **Automotive Stampings and Assemblies** Limited, or **ASAL**.

But first... about our headline



Multibagger or IBC (Series: AA 125) : A set of stocks from which multibaggers & IBC cases may emerge in the next 2 to 5 years.

This was the headline of our series opener on the auto ancillary sector.

Before we explain it, let us introduce this research-based analytical series that will, every week, take you on a deep dive into auto ancilliary companies that are well prepared to handle the EV transformation, or are preparing to do so. Also, the ones that are likely to go under IBC as they are just not relevant in the EV age.

Back to the headline: AA stands for auto ancillary, 125 is the

This series on auto ancillary companies works with the assumption that, from the whole set of auto ancillary companies, some multibagger stocks will emerge. And some companies in this space risk going bankrupt.

For previous stories in this AA Series, kindly click on the respective links -Intro, 1, 2, 3, 4, 5, 6, 7, 8, 9, 10, 11, 12, 13, 14, 15, 16, 17, 18, 19, 20, 21, 22, 23, 24, 25, 26, 27, 28, 29, 30, 31, 32, 33, 34, 35, 36, 37, 38, 39, 40, 41, 42, 43, 44, 45, 46, 47, 48, 49, 50, 51, 52, 53, 54, 55, 56, 57, 58, 59, 60, 61, 62, 63, 64, 65, 66, 67, 68, 69

Business That Refused to Disappear

A business that survives financial stress does not automatically become a good business. Survival merely gives it another opportunity to prove itself. **Automotive Stampings** and Assemblies Limited has received that opportunity.

For several years, its auditors repeatedly highlighted

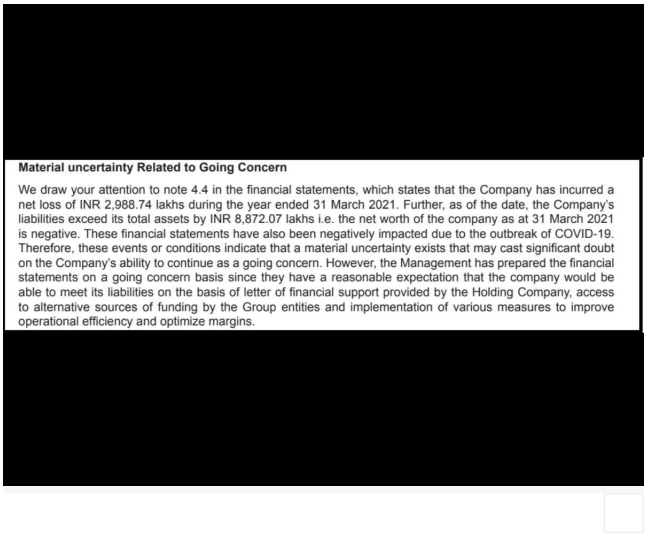
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uncertainty over its ability to continue as a going concern. Losses had weakened net worth. Liabilities exceeded assets. Support from the holding company became part of management's case for continuing operations.



Material uncertainty Related to Going Concern

We draw your attention to note 4.4 in the financial statements, which states that the Company has incurred a net loss of INR 2,988.74 lakhs during the year ended 31 March 2021. Further, as of the date, the Company's liabilities exceed its total assets by INR 8,872.07 lakhs i.e. the net worth of the company as at 31 March 2021 is negative. These financial statements have also been negatively impacted due to the outbreak of COVID-19. Therefore, these events or conditions indicate that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern. However, the Management has prepared the financial statements on a going concern basis since they have a reasonable expectation that the company would be able to meet its liabilities on the basis of letter of financial support provided by the Holding Company, access to alternative sources of funding by the Group entities and implementation of various measures to improve operational efficiency and optimize margins.

Source: Annual Report FY21

Its recovery matters because ASAL is not a speculative new entrant trying to find its first customer. It is an established tier-I supplier with a history extending back to 1990, a 75% holding by **Tata AutoComp Systems** Limited, and relationships across passenger vehicles, commercial vehicles, electric mobility, and off-road equipment.

The company was incorporated as JBM Tools Limited in March 1990. It began with dies, moulds and tools before commencing sheet-metal component manufacturing. The company later became part of the **Tata** group and adopted its present name in 2003.

Gestamp joined as a promoter in 2007. Tata AutoComp eventually acquired Gestamp's stake in 2010, making ASAL its subsidiary. This history gave ASAL customer access and manufacturing knowledge. But it did not protect the business from industry cyclicality, operating losses, and an overstretched balance sheet.

In FY18, ASAL reported a net loss of about Rs. 46.48 crore, while liabilities exceeded assets by around Rs.

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28.91 crore. The gap widened in subsequent years. By FY21, liabilities exceeded assets by nearly Rs. 88.72 crore.

The company continued on the basis of expected parent support, alternative group funding and operating improvement plans.

Land Sales

The major balance-sheet reset came in FY22. ASAL sold its land and building at Chakan for Rs. 101 crore and leased back the building and a portion of the land for 15 years. The transaction generated an exceptional net gain of Rs. 61.72 crore after recognising the lease liability and right-of-use asset.

Automotive Stampings also sold the land and factory building at Halol for Rs. 12.25 crore. The sale generated a gross gain, but closure, employee termination, equipment transfer, and other costs resulted in a net exceptional loss of Rs. 1.74 crore for that unit.

Together, the two transactions produced an exceptional gain of nearly Rs. 59.98 crore. This was not operating profit. It was a one-time balance-sheet intervention.

Asset sales can provide time and reduce stress, but a lasting recovery must eventually come from manufacturing margins, cash generation, and disciplined capital allocation.

ASAL today operates five plants: Two at Chakan (Maharastra), and one each at Pantnagar (Uttarakhand), Sanand (Gujarat), and Jamshedpur (Jharkhand). Four of the five facilities shown in the annual report are leased, including both Chakan facilities, Sanand, and Jamshedpur.

India Dependency

ASAL remains overwhelmingly dependent on India. FY26 domestic revenue was Rs. 889.57 crore. Revenue from the rest of the world was only Rs. 0.96 crore.

All disclosed non-current assets were located in

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India. This reduces currency and overseas-subsidiary risk. ASAL has no subsidiary, and its financial statements are presented on a standalone basis.

But the absence of meaningful exports also limits diversification from the Indian automotive cycle and from a concentrated domestic customer base.

Now let's move to the central question: What exactly does ASAL manufacture?

Product Portfolio

ASAL does not make a single dominant branded product. It manufactures multiple metal components that are spread across the vehicle.

Its product portfolio includes body-in-white components, structural assemblies, skin panels, fuel tanks, rear twist beams, oil sumps, suspension parts, battery trays, cooling tubes, heavy fabricated parts, tools, dies, and moulds.

Some components are visible. Most are hidden beneath the painted body or under the vehicle.

The skeleton beneath the car: Body-in-white, commonly called BIW, refers to the vehicle's metal body before painting, interiors, glass, and powertrain systems are added. It is the vehicle's skeleton and safety cage.

Roof members, pillars, firewall, floor, side structures, crash members and rear-quarter assemblies contribute to body stiffness, maintain dimensional accuracy and help channel or absorb crash forces while protecting the passenger compartment.

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Source: Company's website

A useful analogy is a building frame. The walls and paint may define how the building looks, but its beams and columns determine whether the structure remains stable.

In a vehicle, even a small dimensional error can disturb door alignment, welding quality, noise levels or crash performance. This makes tooling, process control and consistent production important.

ASAL's displayed applications include **Tata Harrier**, Tata Nexon, Fiat Jeep Compass, **Tata Ace**, Tata Signa, and **Ashok Leyland** commercial vehicles. These examples show that the business operates across passenger cars, light commercial vehicles, heavy commercial vehicles, and utility vehicles.

The parts that connect body and road: The company's chassis-related portfolio includes rear twist beams, suspension assemblies, fuel tanks and oil sumps.

A rear twist beam is part of the rear suspension. It connects the rear wheels while allowing controlled movement when the vehicle travels over uneven roads. Think of it as a strong metal bridge between the two rear wheels. It must carry load, absorb movement, and also help maintain stability.

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Source: Company's website

Suspension parts perform a similar supporting role. They connect the vehicle body to the wheels and manage loads, shocks and road movement.

ASAL also manufactures heavy fabricated suspension components for commercial and off-road applications. These include hangers, trailing arms, and adjustment plates, among others.



Source: Company's website

These are not high-visibility products, but failure can affect ride quality, load-bearing ability, as well a safety.

The vehicle's outer shell: Skin panels are the outer visible metal surfaces of a vehicle, including door

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panels, side walls, roofs, tailgates, cabin walls and front panels. If BIW is the skeleton, skin panels are the outer shell. They must meet appearance standards as well as fit precisely with adjoining parts.



Source: Company's website

ASAL's website shows skin-panel applications for the Tata Ace family, Signa, Ape City, Cargo, and Vespa. This broadens the addressable vehicle categories beyond passenger cars.

The body-panel and fabrication portfolio: These products include roofs, bonnets, side panels, engine covers, hoods, grilles, and guards.



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Source: Company's website

The underlying process remains similar: Metal is cut, pressed into shape, welded where needed, and inspected against customer specifications.

Fuel tanks and oil sumps: A fuel tank stores fuel and supplies it to the engine. An oil sump sits below the engine and stores lubricating oil. The oil sump is like a reservoir beneath the engine. It collects oil so that the lubrication system can circulate it again. Both products have clear roles in internal-combustion vehicles. Their long-term relevance is therefore linked to the powertrain mix.

Battery trays and cooling tubes: These perform a different role. Battery trays support and help protect the battery pack, which is often mounted beneath the vehicle floor. They act like a reinforced protective case and may form part of the vehicle's underbody structure.

Cooling tubes perform a separate function by circulating coolant to control battery temperature.



Source: Company's website

ASAL's disclosed electric applications include passenger vehicles, commercial vehicles, and three-wheelers. Its website also shows a battery tray for the Tata Harrier EV platform.

The portfolio therefore contains three different

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transition exposures. Some products survive regardless of powertrain. Some require modification. Others face decline, while battery-linked components create new content.

This is why ASAL cannot be labelled simply as an old ICE supplier or an EV beneficiary. It is both a carryover business and a transition business.

Fitting Into an EV Future

The shift towards electric mobility does not eliminate the need for vehicle bodies, doors, roofs, floors, suspension systems or structural assemblies. A battery-powered vehicle still needs a safe body, outer panels and load-bearing structures.

ASAL's BIW components, structural panels and skin panels are therefore neutral carryover products. The design may change for each platform, but the basic need remains.

Suspension parts and rear twist beams are also relevant with modification. EVs are often designed around a different floor structure and battery placement. The load distribution can change, but the vehicle still requires suspension and structural support.

Many heavy fabricated structural and suspension parts can carry over to electric commercial and off-road vehicles, though designs may change. Parts linked specifically to engines, fuel systems, exhausts, or conventional transmissions face higher EV disruption.

Fuel tanks are at risk in a pure electric shift. They remain relevant for conventional vehicles and hybrids, but a battery-only vehicle does not require liquid-fuel tank. Oil sumps are more directly exposed. They are engine-specific and therefore not needed in battery EVs.

Battery trays and battery cooling components are new beneficiaries from the EV transition.

The practical investment question is whether new battery-linked revenue can grow fast enough to offset any gradual reduction in fuel and engine-

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related products. ASAL's disclosures suggest that it is building the required process capabilities.

The company has installed friction stir welding equipment for aluminium battery-tray applications. Friction stir welding is a solid-state process in which a rotating tool generates heat through friction and plastic deformation, softening and stirring the metal without melting it or using a welding arc. This can be useful for aluminium structures where strength, sealing, and controlled heat are important.

ASAL has also installed robotic welding applications at four plants and intends to automate additional manual welding operations.

The disclosed technology plan includes aluminium stamping products, battery trays, cooling plates, and cooling tubes. It also has laser-cutting and press-brake capability for heavy fabricated products.

New lines disclosed in FY26 include a Curvv line and an Eturna line, both equipped with Level 3 poka-yoke systems. Poka-yoke refers to error-proofing controls designed to prevent or immediately detect mistakes.

The technology effort is operational rather than research-heavy. ASAL disclosed no formal research and development expenditure during FY26. It also reported no imported technology during the preceding three years.

Since it reported no R&D expenditure in FY26, the available information suggests that its technology efforts are focused mainly on improving manufacturing processes and supporting customer programmes, rather than operating a large standalone R&D platform.

Management's disclosures identify EV demand, exports to Tata AutoComp-linked customers in Mexico and Poland, battery-tray capability, and automation as opportunities.

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Source: Annual Report FY26

Customer Network: Moat & Risk

ASAL reported FY26 revenue from contracts with customers of Rs. 890.52 crore, up from Rs. 775.28 crore in FY25. Components generated Rs. 782.41 crore, or about 87.9% of revenue. Scrap contributed Rs. 78.40 crore, tools, dies and moulds contributed Rs. 28.51 crore, and service revenue was Rs. 1.20 crore.



Source: Annual Report FY26

The sizeable scrap contribution is partly a feature of metal-stamping operations. Sheet-metal blanks are cut from coils, and the unused material is sold as scrap.

However, investors should distinguish scrap

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revenue from component value addition. The economic quality of the business is better assessed through conversion margins, operating profit, and cash generation than through total revenue alone.

Sales to OEMs amounted to Rs. 699.03 crore, or around 78.5% of total revenue. Other market revenue was Rs. 191.50 crore. There is no meaningful aftermarket diversification visible in the supplied disclosures. ASAL is fundamentally an OEM-linked manufacturing business.

That means revenue is tied to customer production schedules, new model launches, vehicle demand, and negotiated pricing. And four of these customers each contributed more than 10% of revenue in FY26. Together, these four customers contributed Rs. 565.63 crore, or approximately 63.5% of FY26 sales.

- **Tata Motors Passenger Vehicles** generated Rs. 166.36 crore.
- **Tata Motors** generated Rs. 151.87 crore.
- **Tata AutoComp Gotion Green Energy Solutions** generated Rs. 141.33 crore.
- Fiat India Automobiles generated Rs. 106.07 crore.

Customer concentration is not automatically negative. Large, long-term OEM relationships can provide platform visibility, manufacturing scale, and entry barriers. Tooling, quality approval, and just-in-time integration make supplier changes disruptive.

On the other hand, concentration reduces the supplier's bargaining power and increases exposure to model-level and customer-level volume changes.

The related-party concentration is even higher. Annual report disclosure shows that sales to related parties represented 79% of total sales in FY26, compared with 84% in FY25. Purchases from related parties increased to 28% of total purchases from 24%

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Source: Annual Report FY26

This ecosystem supports business access. It also creates a need for close monitoring of pricing, receivable balances, cross-charges, borrowings, and shareholder approvals. The proposed FY27 transaction ceilings are large:

- Tata Motors Passenger Vehicles: Rs. 395 crore.
- Tata Motors: Rs. 360 crore.
- **Tata Steel** Downstream Products: Rs. 310 crore.
- Tata AutoComp Gotion Green Energy Solutions: Rs. 265 crore.
- Fiat India Automobiles: Rs. 250 crore.
- **Tata Passenger Electric Mobility**: Rs. 150 crore.
- Tata AutoComp Systems: Rs. 140 crore.
- Tata AutoComp Hendrickson Suspensions: Rs. 100 crore.
- TM Automotive Seatings Systems Limited: Rs. 100 crore.

The sum of these individual ceilings is more than twice ASAL's FY26 revenue. However, these are approval limits, not revenue guidance, and actual transactions can be lower. Still, their scale shows how extensively ASAL's operations are embedded in related-party relationships.

Recovery: Visible, Not Complete

FY26 was a stronger operating year. Sales increased

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14.86% to Rs. 890.52 crore from Rs. 775.28 crore. Management attributed the rise to improved automotive demand and higher offtake from OEM customers.

Material costs, including inventory changes, rose in absolute terms but declined to 71.7% of sales from 73.47%. Employee costs remained broadly stable at 5.85% of sales. Finance costs declined to Rs. 14.15 crore from Rs. 14.90 crore. Depreciation remained nearly unchanged at around Rs. 19.79 crore.

Other expenses increased to Rs. 141.49 crore from Rs. 111.88 crore, and rose to 15.89% of sales from 14.43%. Management linked this increase to additional subcontracting cost for new product programmes and inflation in consumables and other costs.

Profit before exceptional items and tax increased to Rs. 26.22 crore from Rs. 16.78 crore. After an exceptional expense of Rs. 1.08 crore, profit before tax was Rs. 25.14 crore.

The operating profit margin improved modestly to 6.73% from 6.63%. Net profit margin rose to 2.82% from 2.16%.

This is certainly progress, but the net margins remain thin. A limited change in steel conversion margins, customer volumes, subcontracting costs, or production efficiency can affect profit.

The balance-sheet ratios show a similar mixture of recovery and residual stress. The debt-equity ratio fell to 3.44 from 17.02. This was driven by repayment of borrowings and the retention of profit. Interest coverage improved to 2.78 times from 2.13 times.

The current ratio rose to 0.90 from 0.74, but remained below one. Current liabilities therefore continued to exceed current assets. The debt-service coverage ratio declined to 1.81 from 2.12.

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Source: Annual Report FY26

ASAL's related-party borrowing also remains relevant. The company had an outstanding Rs. 30 crore loan from Tata AutoComp Systems at March 2026, compared with Rs. 40 crore a year earlier. It repaid Rs. 10 crore during FY26 and paid interest of Rs. 2.75 crore.

Another audit disclosure requires attention. The statutory auditor reported that Rs. 23.35 crore raised on a short-term basis had been used for long-term investment.

This does not by itself establish a default. The auditor separately reported no default in loan or interest repayment and stated that ASAL had not been declared a wilful defaulter.

But it indicates a maturity mismatch. Long-term assets ideally require stable long-term funding. Using short-term funding creates refinancing and liquidity pressure.

Stable Ownership, Unstable Operating Risks

Tata AutoComp Systems holds 75% of ASAL, while **Tata Sons** is the ultimate holding company. Foreign institutional ownership and domestic institutional ownership have remained negligible. Public ownership was around 24.9% in June 2026.

The number of shareholders increased from 4,087 in March 2017 to 36,175 in March 2025. It later

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moderated to 33,571 in March 2026 and 32,616 in June 2026. This indicates wider retail participation over time, but not meaningful institutional accumulation.

The Tata parentage brings financial support and access to group programmes. It does not eliminate execution risk. Management itself identifies customer concentration, volatile steel prices, skilled-manpower availability, and fluctuations in customer production schedules as key concerns.



Source: Annual Report FY26

Steel forms the main raw material. Although customers may compensate for some steel-price movement, ASAL faces continuing pressure on conversion and other costs.

This is a typical tier-I supplier problem. An OEM may reimburse the metal component of cost, but th supplier still needs to manage labour, power, freigh consumables, subcontracting, yield loss, and productivity.

The company has responded through automation, yield improvement, and cost rationalisation. Whether these measures produce materially higher margins remains to be seen.

There is also a record of smaller compliance and governance matters. The secretarial auditor reporte an 84-day delay in appointing a company secretary

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and compliance officer. ASAL paid a fine of Rs. 15,340 for the portion of the delay falling in the December 2025 quarter. The company appointed the officer in March 2026 and said that the delay was not intentional.

This is not financially material, but timely appointment of key compliance personnel is basic for a listed company.

The larger governance question remains related-party dependence. Related-party sales are integral to ASAL's business model, not an occasional transaction. This makes recurring disclosure, pricing discipline, receivable collection and committees' oversight more important.

The model can work well when all parties grow and commercial terms remain fair. It becomes vulnerable when a major customer reduces volumes, delays a programme, changes sourcing strategy, or pushes for lower conversion prices.

Dividend & Earnings

Earnings per share show how much profit belongs to each equity share. Dividend per share shows how much of that profit was distributed to shareholders.

ASAL's EPS history reflects three distinct phases. The first was the profitable but declining period before FY13. Adjusted EPS fell from Rs. 7.62 in FY11 to Rs. 3.51 in FY12 before turning negative in FY13.

The second was a prolonged loss phase. ASAL reported negative EPS in every year from FY13 to FY21, except that the severity varied considerably. The largest loss came in FY18, when adjusted EPS fell to negative Rs. 29.35. The financial stress continued through FY19, FY20, and FY21. By then, accumulated losses had pushed reserves and net worth deeply into negative territory.

FY22 appears to be the major earnings turning point, with adjusted EPS of Rs. 32.97. However, this number was not created entirely by normal manufacturing operations. ASAL recognised a net exceptional gain from the Chakan sale-and-leaseback and the disposal and closure of the Halol

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plant. The FY22 EPS should therefore not be treated as the new recurring earnings base.

The more relevant improvement began after that. Adjusted EPS was Rs. 5.25 in FY23, rose to Rs. 12.71 in FY24, declined to Rs. 10.58 in FY25 and recovered to Rs. 17.45 in FY26. This suggests that the latest improvement came more from operating performance than from another large asset-sale gain.

ASAL has not paid a dividend since FY12. The absence of dividends is consistent with the company's financial position. ASAL first had to absorb accumulated losses, repay borrowings, rebuild net worth, and support working capital. Even after returning to profit, the company continued retaining earnings rather than distributing them.

Automotive Stampings and Assemblies Ltd - DPS & EPS

Amounts as per standalone financial statements

Description	FY26	FY25	FY24	FY23	FY22	FY
Adjusted EPS (Rs)	17.45	10.58	12.71	5.25	32.97	-18
Adj DPS (Rs)	-	-	-	-	-	
Dividend Pay Out Ratio (%)	-	-	-	-	-	

Finally, the Financials

The business changes discussed earlier are visible in ASAL's financial statements. Revenue growth alone does not establish a turnaround. The company must also convert profit into cash, rebuild net worth, manage debt, fund new vehicle programmes and reduce its dependence on short-term liabilities.

The historical numbers help test whether ASAL has merely survived through asset sales and parent support, or whether the operating business has started funding its own recovery. ASAL's revenue history shows that this is a cyclical and customer-linked manufacturing business.

Gross sales were Rs. 625.87 crore in FY12 but

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subsequently declined as the company entered a prolonged weak phase. By FY18, sales had fallen to Rs. 335.59 crore.

Revenue recovered to Rs. 481.67 crore in FY19, but the momentum was interrupted by the industry slowdown and Covid-19 period. Sales fell to Rs. 362.40 crore in FY20 and further to Rs. 339.13 crore in FY21.

The post-Covid recovery was significant. Gross sales rose to Rs. 607.64 crore in FY22 and Rs. 828.23 crore in FY23. By FY24, sales had reached Rs. 880.33 crore. However, the ramp-up was not linear. Sales declined to Rs. 775.28 crore in FY25 before recovering 14.9% to a record Rs. 890.52 crore in FY26.

Profitability followed a more difficult path. ASAL recorded losses from FY13 through FY21. This prolonged loss history explains why reserves collapsed and why support from Tata AutoComp Systems became important. The operating recovery becomes clearer from FY23 onwards. PAT was Rs. 8.33 crore in FY23, Rs. 20.17 crore in FY24, Rs. 16.78 crore in FY25, and Rs. 27.68 crore in FY26.

FY26 PAT increased by around 65% while sales rose by about 15%. Profit therefore grew considerably faster than revenue.

Automotive Stampings and Assemblies Ltd - Income Statement

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22
Gross Sales	890.52	775.28	880.33	828.23	607.64
Total Income	892.20	778.27	881.23	830.57	609.91
Total Expenditure	832.04	726.92	829.52	795.72	591.77
Gross Profit	252.03	205.65	197.78	161.99	116.95
PAT	27.68	16.78	20.17	8.33	52.31
Cash Profit	47.47	36.46	36.49	22.15	63.15

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The most important development is the restoration of positive net worth. ASAL's paid-up equity capital has remained unchanged at Rs. 15.86 crore since FY12. The improvement in net worth has therefore

not come through repeated equity dilution. Instead, the movement reflects accumulated losses followed by exceptional gains and retained profits.

Reserves and surplus stood at Rs. 62.69 crore in FY12 but declined as losses accumulated. They turned negative in FY18 and reached negative Rs. 104.59 crore in FY21. Net worth followed the same pattern. It fell from Rs. 78.55 crore in FY12 to negative Rs. 28.91 crore in FY18. The deficit widened to negative Rs. 88.72 crore in FY21.

This was the balance-sheet expression of the going-concern problem discussed earlier.

The FY22 asset transactions provided the first major reset. Net worth improved to negative Rs. 35.71 crore in FY22, but it remained below zero. Thereafter, retained operating profits gradually repaired the deficit. Net worth improved to negative Rs. 27.34 crore in FY23 and negative Rs. 7.37 crore in FY24.

ASAL returned to positive net worth in FY25 at Rs. 8.74 crore. It then strengthened further to Rs. 36.16 crore in FY26. Reserves also returned to positive territory at Rs. 20.30 crore in FY26.

The balance-sheet recovery has therefore moved through two stages. Asset sales prevented deeper stress, while profits from FY23 onwards gradually rebuilt equity.

Debt followed a different cycle. Total debt increased from Rs. 102.91 crore in FY18 to Rs. 145.84 crore in FY19 and reached Rs. 157.41 crore in FY21.

Debt fell sharply to Rs. 42.84 crore in FY22 after the asset-sale transactions, and remained close to Rs. 4 crore in FY23 and FY24 before rising to Rs. 89.88 crore in FY25. Debt then declined to Rs. 70.28 crore in FY26.

This is consistent with the company's disclosure that it repaid borrowings and reduced the outstanding loan from Tata AutoComp Systems. ASAL had an outstanding group loan of Rs. 30 crore at March 2026, after repaying Rs. 10 crore during th year.

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Answer required

- Glued to charts during market hours
- Checking prices between office meetings
- Looking for a 15-min daily routine

Automotive Stampings and Assemblies Ltd - Sources of Funds

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22
Equity Paid Up	15.86	15.86	15.86	15.86	15.86
Reserves and Surplus	20.30	-7.13	-23.23	-43.21	-51.58
Net Worth	36.16	8.74	-7.37	-27.34	-35.71
Total Debt	70.28	89.88	45.99	46.00	42.84
Capital Employed	106.44	98.61	38.62	18.66	7.13

ASAL's gross block increased from Rs. 147.30 crore in FY22 to Rs. 163.88 crore in FY23 and Rs. 198.79 crore in FY24. This movement coincides with the commencement of operations at Sanand and Jamshedpur. The gross block rose further to Rs. 209.72 crore in FY25 before declining slightly to Rs. 204.67 crore in FY26.

The company has reported no financial investments throughout the period. Capital has remained concentrated in its operating business rather than being deployed into a separate investment portfolio.

Cash and bank balances remained very low for much of the stressed period. ASAL held only Rs. 0.04 crore in FY21, Rs. 0.54 crore in FY20, and Rs. 0.59 crore in FY19. Cash gradually improved to Rs. 4.23 crore in FY22 but fell again to Rs. 2.91 crore in FY23 and Rs. 1.88 crore in FY24. It again rose to Rs. 4.40 crore in FY25 and increased sharply to Rs. 18.98 crore in FY26.

The FY26 cash build-up is a positive signal because it came alongside higher profit.

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Automotive Stampings and Assemblies Ltd - Application of Funds

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22
Gross Block	204.67	209.72	198.79	163.88	147.30
Investments	-	-	-	-	-
Cash and Bank balance	18.98	4.40	1.88	2.91	4.23
Net Current Assets	−23.35	−60.17	−70.34	−88.58	−96.62
Total Current Liabilities	245.50	229.98	230.80	214.98	176.17
Total Assets	333.73	295.45	284.98	229.17	180.90

ASAL's operating cash flow has historically been volatile. The company generated positive operating cash in several loss-making years. In other years, reported profit did not translate into operating cash.

FY26 marked a sharp reversal. Cash flow from operations increased to Rs. 58.97 crore, more than twice the reported PAT of Rs. 27.68 crore. It was also the highest operating cash flow in the 17-year data set.

Over the four years from FY23 to FY26, cumulative operating cash flow was about Rs. 108 crore, compared with cumulative PAT of roughly Rs. 73 crore.

This indicates that the recent recovery, viewed over several years rather than only FY25, has been supported by operating cash.

Automotive Stampings and Assemblies Ltd - Cash flow from operations

Amounts as per standalone financial statements (INR Crores)

Description	FY26	FY25	FY24	FY23	FY22	F
Cash Flow from Operations	58.97	−6.72	31.12	24.97	43.82	

ASAL's historical return on capital employed requires careful interpretation. RoCE was negative in loss-making years, including negative 38.03% in

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FY18 and negative 14.71% in FY21. It then rose to 177.49% in FY22, 163.11% in FY23 and 123.58% in FY24.

These numbers appear unusually high because ASAL's capital employed was extremely small after accumulated losses had eroded equity. When the denominator is close to zero, even a modest operating profit can produce a very high return ratio.

The apparent decline in RoCE to 46.16% in FY25 and 38.32% in FY26 should therefore not automatically be interpreted as operating deterioration.

ASAL's market capitalisation has been highly volatile. It fell to Rs. 20.94 crore in FY20 and was only Rs. 52.99 cr in FY21, when going-concern concerns and negative net worth dominated the financial picture.

Market capitalisation then increased sharply to Rs. 932.27 crore in FY22. This rerating coincided with the exceptional asset-sale gain and the first visible signs of balance-sheet recovery.

The market value fell to Rs. 470.93 crore in FY23, rose again to Rs. 911.33 crore in FY24 and declined to Rs. 745.07 crore in FY25 and Rs. 601.18 crore in FY26.

The FY26 decline occurred despite stronger sales, PAT, and cash flow. As a result, the adjusted price-to-earnings multiple fell to 21.72 times from 44.41 times in FY25 and 45.18 times in FY24.

Automotive Stampings and Assemblies Ltd - Key Data Points

Amounts as per standalone financial statements

Description	FY26	FY25	FY24	FY23	FY22
ROCE (%)	38.32	46.16	123.58	163.11	177.49
Market Capitalization (INR Cr)	601.18	745.07	911.33	470.93	932.27
Equity Dividend (%)	-	-	-	-	-
Dividend Yield (%)	-	-	-	-	-
Adjusted PE (x)	21.72	44.41	45.18	56.57	17.82

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Automotive Stampings and Assemblies Ltd - Stock Performance

Amounts in INR, unless stated otherwise

Date	Open	High	Low	Close
August 3, 2026	490.10	509.00	490.10	508.55
January 4, 2000	17.10	17.10	17.10	17.10

Verdict: Bankruptcy Behind, Multibagger Ahead?

ASAL has answered the bankruptcy question more convincingly than it could a few years ago. It has not yet answered the multibagger question. The factories are active, revenue is rising and the company is entering EV linked products. The next phase will not be decided by another exceptional gain or parent support. It will be decided by conversion margins, working capital, and the ability to retain enough operating cash to fund growth.

ASAL is no longer merely a survival story. It is now an execution story, and execution will determine whether the recovery becomes durable.

Methodology

For the purposes of this series, we use only publicly available information. What the companies have said in their annual reports for the last many years, management calls, or investors meetings. We comb through their annual reports to figure out whether the company faces an existential threat and whether it is ready to admit it or not.

If it has admitted to a threat, what does it plan to do? Let's say a company has admitted that it had a threat. Has it taken any steps in the last three years to change its business model? Have such steps had any impact on the working of the company?

Will also look at their financial performance over the last 10 years. A company whose overall sales have not even grown at the rate of inflation is not worth keeping in your portfolio. We read between the lines of annual reports to figure out what lies ahead for the business and the company's earnings. Ultimately, it is earnings which matter for and on the street.

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